UNITED STATES SECURITIES AND EXCHANGE COMMISSION

FORM 10-Q - Apple Inc. (AAPL)

Reporting Period: Quarter Ended June 29, 2024 (Q3 FY2024) | Document Source: Official SEC EDGAR / Investor Relations

ITEM 1. FINANCIAL STATEMENTS - CONSOLIDATED STATEMENTS OF OPERATIONS

Net sales for the third quarter of fiscal 2024 were $85.78 billion, an increase of 5% compared to net sales of $81.80 billion in the third quarter of fiscal 2023. Gross margin was $39.68 billion (46.3%), compared to $36.41 billion (44.5%) in the prior-year quarter.

Operating income reached $25.35 billion, up 10% year-over-year. Net income for the quarter was $21.45 billion, with diluted earnings per share of $1.40, compared to $1.26 in the prior year quarter.

Revenue by Product Category (in millions):

Product Category	Q3 FY24	Q3 FY23	Change (%)
iPhone	$39,296	$39,669	-1%
Mac	$7,009	$6,840	+2%
iPad	$7,162	$5,791	+24%
Wearables, Home & Accessories	$8,095	$8,284	-2%
Services	$24,213	$21,213	+14%
Total Net Sales	$85,775	$81,797	+5%

ITEM 2. MANAGEMENT DISCUSSION AND ANALYSIS (MD&A)

Services revenue reached an all-time revenue record of $24.2 billion, driven by double-digit growth across Cloud services, App Store subscriptions, Apple Music, and Apple Pay transactions.

Geographic Net Sales: Americas accounted for $37.72 billion (+6%), Europe posted $21.88 billion (+8%), Greater China generated $14.73 billion (-6%), Japan reached $5.10 billion (+6%), and Rest of Asia Pacific was $6.34 billion (+13%).

Operating cash flow during the quarter was $28.9 billion. The Board of Directors declared a cash dividend of $0.25 per share and returned over $32 billion to shareholders through dividends and share repurchases.

ITEM 1A. RISK FACTORS AND REGULATORY MATTERS

The Company faces intense competition globally, with rapid technological shifts towards generative artificial intelligence. The rollout of Apple Intelligence requires substantial capital expenditure in private cloud compute and on-device semiconductor designs.

International regulatory scrutiny, particularly compliance with the European Union Digital Markets Act (DMA) requiring alternative app marketplace distribution and third-party web browser engines, may adversely affect Services gross margins.

Supply chain dependencies in Asia remain exposed to geopolitical tensions, semiconductor fabrication lead times, and trade policy adjustments.